

Outlook

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The PD field needs an outcomes check, not a colour chart

Morning,

I need help with something that sounds simple but probably is not.

Loan files contain origination PD, LGD and ECL fields, but the bank needs to know whether risk ordering survives into later repayment behaviour. Please start with the decision we need to make, then show whether the available evidence is strong enough to support it.

The questions I would ask in the room are:

1. What would we expect to see if product and vintage explain more than the score?
2. What evidence would instead support that higher PD bands show more arrears?
3. How do we rule out that missing or defaulted inputs create artificial separation?

We looked at a version of this before. For the July 2020 review, please show what changed and whether the earlier conclusion still holds. Please work towards whether recalibration, segmentation or data remediation is the next step. A useful output would be a control view with the exceptions, owner and reason each item was included.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. One caution: The data supports discrimination and outcome analysis, not a complete IFRS 9 validation without default definitions, macro scenarios and accounting policy.

Regards